

Week ending: 05th July 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day** and the **182-day** T-bills were oversubscribed recording **252.02%** and **139.50%** respectively, while the **364-day** T-bill was undersubscribed recording **73.22%**. The CBK accepted KES **6.05B**, **13.92B** and **5.47B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer, accepting a total of **25.45B.**

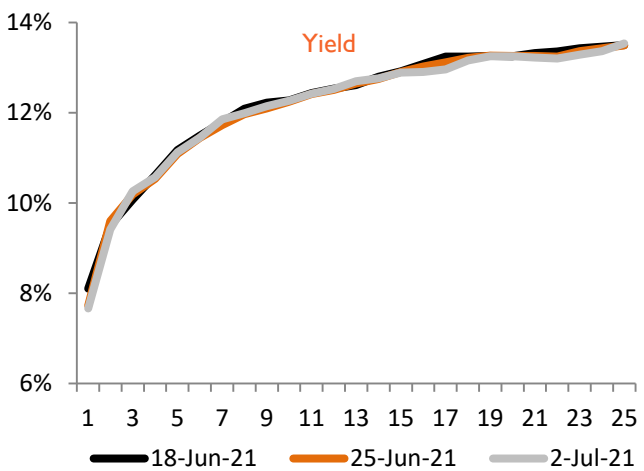
The Central Bank of Kenya opened a tap sale on fixed bonds **FXD1/2019/20-(17yrs)** and **FXD1/2012/20-(11yrs)** offered on a first-come-first-served basis from **21/06/2021** to **01/07/2021,** in a bid to raise KES **50Bn.** The bonds were oversubscribed with the CBK accepting **KES 37.42B** out of the total **KES 38.48B** bids received. The coupon rates for the bonds were **12.873%** and **12.000%** for the **FXD1/2019/20** and **FXD1/2012/20** respectively.

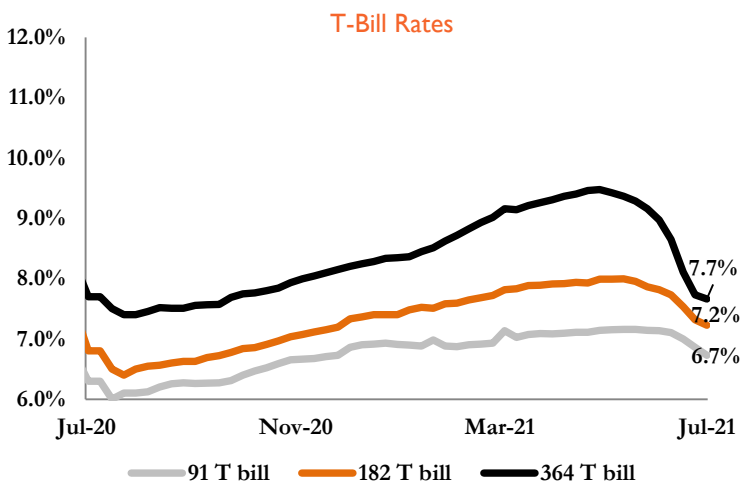
Key Indicators

	Current	Previous	% Change
91- Day	6.73%	6.86%	-0.13%
182-Day	7.23%	7.32%	-0.09%
364-Day	7.66%	7.73%	-0.07%
Interbank Rate	4.76%	4.98%	-4.42%

Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	-1.1%	5.8%
Inflation (June)	6.32%	5.87%
Private sector credit growth (March)	7.70%	9.70%
Money Supply (March)	10.10%	12.40%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.19%** to stand at **107.95**.The CBK's usable forex reserves currently stands at **USD 9,494 million** (**5.81** months of import cover) as at July 1st, a **17.01%** increase from **USD 8,114 million** (**4.96** months of import cover) at June 24th.

Inflation

In June, Headline inflation increased to **6.32%** from **5.87%** in May. The CPI increased by **0.11%** from **114.98** in May to **115.11** in June. Meanwhile, food and beverage index increased by **0.35%** due to the increase in prices of select food items. Headline inflation is expected to increase on the back of higher food and fuel prices. Fuel prices are expected to edge higher due to increase in global economic activity that has exerted upward pressure on global oil demand.

GDP growth

Growth receded to **-1.1%** in 3Q20 from **5.8%** in the corresponding period of 2019. Economic performance remained depressed due to the crisis caused by the pandemic. However, an improvement was observed compared to 2Q20. The quarterly improvement was majorly supported by growth in the agricultural sector that recorded **6.3%** growth compared to **5.0%** in 2019 and growth in construction by **16.2%** versus **6.6%** in 2019. Manufacturing, Electricity and Transportation sectors each recorded **3.2%**, **4.7%** and **9.9%** growth respectively.

CONTACTS:

Research Desk
Sarah Wanga
Head of Research

Email: research@aib-axysafrica.com

Equities Dealing
Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing
Crispus Otieno

Titus Marenye

Email: trading@aib-axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication may not be distributed to the public media or quoted or used by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.